

ized by the stockholders; consequently the earlier issues have since been equally secured with bonds issued under the new mortgage. They still carry the title of "debentures," but this is now a misnomer. There is, however, an issue of 4% debentures, due in 1957, which did not carry this provision and hence are unsecured. In 1939 the (unsecured) debenture 4s, due 1957, sold at one-third the price of the (secured) debenture 4s, due 1956, *e.g.*, 5 vs. 16.²

Purchase-Money Mortgages. It is customary to permit without restriction the assumption of *purchase-money mortgages*. These are liens attaching only to new property subsequently acquired, and their assumption is not regarded as affecting the position of the other bondholders. The latter supposition is not necessarily valid, of course, since it is possible thereby to increase the ratio of total debt of the enterprise to the total shareholder's equity in a manner which might jeopardize the position of the existing bondholders.

Subordination of Bond Issues to Bank Debt in Reorganization. In the case of bonds or notes issued under a reorganization plan it is sometimes provided that their claim shall be junior to that of present or future bank loans. This is done to facilitate bank borrowings which otherwise could be effected only by the pledging of receivables or inventories as security. An example of this arrangement is afforded by Aeolian Company Five-year Secured 6% Notes, due in 1937, which were issued under a capital readjustment plan in partial exchange for the Guaranteed 7% Preferred Stock of the company. The notes were subordinated to \$400,000 of bank loans, which were later paid.

Safeguards Against Creation of Additional Amounts of the Same Issue. Nearly all bonds or preferred issues enjoy adequate safeguards in respect to the creation of additional amounts of the issue. The customary provisions require a substantial margin of earnings above the requirements of the issue as thus enlarged. For example, additional New York Edison

² In exceptional cases, debenture obligations are entitled to a *prior lien* on the property in the event that a subsequent mortgage is placed thereon. *Example:* National Radiator Corporation Debenture 6½s, due 1947, and the successor corporation's income debenture 5s, due 1946. In a second reorganization, effected in 1939, these debentures were replaced by stock. Here is an excellent example of the relative unimportance of protective provisions, as compared with profitable operations.